

4-2b Market Demand versus Individual Demand

The demand curve in [Figure 1](#) shows an individual's demand for a product. To analyze how markets work, we need to determine the *market demand*, the sum of all the individual demands for a particular good or service.

The table in [Figure 2](#) shows the demand schedules for ice cream of the two individuals in this market—Catherine and Nicholas. At any price, Catherine's demand schedule tells us how many cones she buys, and Nicholas's demand schedule tells us how many cones he buys. The market demand at each price is the sum of the two individual demands.

Figure 2

Market Demand as the Sum of Individual Demands

The quantity demanded in a market is the sum of the quantities demanded by all the buyers at each price. Thus, the market demand curve is found by adding horizontally the individual demand curves. At a price of \$4, Catherine demands 4 ice-cream cones and Nicholas demands 3 ice-cream cones. The quantity demanded in the market at this price is 7 cones.

The graph in [Figure 2](#) shows the demand curves that correspond to these demand schedules. Notice that we sum the individual demand curves *horizontally* to obtain the market demand curve. That is, to find the total quantity demanded at any price, we add the individual quantities demanded, which are found on the horizontal axis of the individual

demand curves. Because we are interested in analyzing how markets function, we work most often with the market demand curve. The market demand curve shows how the total quantity demanded of a good varies as the price of the good varies, while all other factors that affect how much consumers want to buy are held constant.

Chapter 4: The Market Forces of Supply and Demand: 4-2b Market Demand versus Individual Demand

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